

diversification opportunity. Second, international stocks trade in foreign currencies. This offers investors a hedge against a decline in the U.S. dollar. Both are important reasons to have some foreign stock exposure in a portfolio.

Roger C. Gibson, CFA, CFP, is a well-known author on the subject of asset allocation. His first book, *Asset Allocation: Balancing Financial Risk* (McGraw-Hill), is a classic work on the subject. In March 1999, Gibson published an award-winning article in the *Journal of Finance* titled “The Rewards of Multiple-Asset-Class Investing.” The article articulates the benefits of investing internationally:

Diversification across two major forms of equity investing with dissimilar patterns of returns further reduces the equity risk. The result is a balanced portfolio, tilted toward equities, appropriate for an investor with a longer investment time horizon who is simultaneously concerned about risk and return. It is a remarkably elegant and powerful asset allocation strategy.

International equities include all publicly traded companies headquartered outside of the United States. The list includes large companies in developed nations, such as Sony Corporation of Japan, and small companies in emerging countries, such as Danubius Hotel of Budapest, Hungary. In all, there are more than 20,000 international companies that trade actively on foreign exchanges.

Several index providers cover the world’s financial markets. They offer individual country indexes, regional indexes, and global indexes. For example, Morgan Stanley Capital International (MSCI) offers country indexes on dozens of markets. In addition, MSCI packages countries together into regions. The MSCI Pacific Rim Index includes Japan, Singapore, Australia, and New Zealand. The MSCI European Index includes the United Kingdom and several continental European countries, including Germany, France, Spain, Italy, Sweden, and Switzerland.

International indexes are available in both the local country currency and U.S. dollars, and that makes a big difference when you are measuring returns. Local currency indexes reflect the returns that people living in that country earn, and dollar indexes are what U.S. investors receive after converting the local currency to U.S. dollars. The news media in the United States generally publish only U.S. dollar returns, which is not the actual